Parshwanath Capital Ventures Fund
SEBI Registered Category III Alternative Investment Fund | Registration No. IN/AIF3/25-26/2108
Fund Manager: CA Deep Dalal | **Sponsor:** Jignesh Shah

IPO ANALYSIS REPORT · DRHP

Jagatjit Agri Engineering Limited

Mainboard · Agricultural implements manufacturing · filed 2026-10-01 · lead manager(s): Keynote Financial Services · issue size Rs 300 cr · price band: Not announced · analysed 2026-10-16

CALL

Screen only

CHECKS

0 fail · 8 watch · 4 pass · 3 open

FY26 revenue of Rs 413.97 cr (+63% on the DRHP's proforma FY25) and PAT of Rs 31.39 cr come from a business that was bought from the promoters' proprietorships only on 01-Apr-2025, so the three-year series mixes bases; what decides the issue is whether the FY26 step-up, 25% of it from one customer and 93.99% from Northern and Central states, repeats in the RHP.

Revenue FY26 **₹414 cr** CAGR FY24-FY26: **191.1%**	PAT FY26 **₹31 cr** CAGR FY24-FY26: **254.2%**	EBITDA margin **13.5%** FY24	Cash conversion (CFO / PAT, 3 yrs) **69.7%**
Cash tax rate (3 yrs) **26.1%**	P/E at reference (post-issue) **32.9x** peer median: **27.6x**	Blended value (Neutral) **₹60.16** vs reference: **-54.3%**	Reference price **₹131.69** Rs 131.69 = lowest listed-peer P/E in the DRHP (Escorts Kubota 23.35x, p. 156) x FY26 EPS Rs 5.64. An illustrative reference, not a price band; no band exists. The only transaction price in the DRHP is Rs 1,547 per pre-bonus Rs 10 share (about Rs 33.63 per Rs 5 share after the 22:1 bonus and split), used for the promoter business purchase in 2025 (p. 388).

Where to focus

! Watch **Cash flow vs profit** pp. 88, 346

FY26 operating cash flow Rs 26.85 m against PAT Rs 313.90 m (8.6%); FY26 working capital absorbed Rs 445.46 m of inventory and Rs 281.35 m of other assets. Cumulative FY24-26 CFO/PAT 69.7% (CFO Rs 281.93 m / PAT Rs 404.39 m) on a mixed standalone/consolidated series.

! Watch **Related-party capex & subsidiaries** pp. 94-95, 129, 56

Both plants stand on land leased from the promoters to 31-Mar-2055 (Cheema 19.47 acres; Dehlon 16.20 acres, Rs 0.08 m a month, +15% every 3 years), and the Rs 716.64 m expansion is on the Dehlon land. Company lent Rs 55.00 m to promoters in FY26 (balance at 31-Mar-26). Three patents assigned by promoter Dharam Singh on 21-Sep-2026 at below fair value (p. 56). Business bought from promoter proprietorships for Rs 324.57 m paid in shares at Rs 1,547 per Rs 10 share (p. 388).

! Watch **Goodwill vs tangible equity** pp. 85, 91, 388

Goodwill Rs 4.55 m restated (0.6% of tangible net worth Rs 704.74 m). The proforma balance sheet (p. 91) shows goodwill Rs 65.66 m at 31-Mar-25 and a capital reserve of Rs 32.98 m at 31-Mar-24; the restated note records goodwill of Rs 3.05 m + Rs 1.50 m. Purchase accounting differs between the two presentations.

! Watch **Customer / supplier / geographic concentration** pp. 33, 36, 261, 56

Top customer (Seth Agro Industries, not a disclosed related party) 25.21% of FY26 revenue; top-10 50.04%. Northern and Central states 93.99% of revenue. Supply side: top-10 suppliers 40.53% of FY26 raw material cost (76.68% in FY25 when promoter firms supplied); no definitive long-term agreements with suppliers or customers.

! Watch **Auditor qualifications / changes** p. 52

CARO 2020 / Rule 11(g): accounting software had no audit-trail feature at database level until January 2026 (FY25 and FY26 reports). No change of statutory auditor (Anup Kumar Jain & Co) in the last three years.

! Watch **CARO / audit trail** p. 24

Promoters and executive directors were in the past disqualified as directors because of a directorship in Jaggatjit Agro Private Limited, which had not filed financial statements or annual returns; the company also lists past delays in RoC filings with adjudication applications.

For information only. Not an offer, solicitation or recommendation, and not investment advice or a research report. The Fund may hold or bid for securities of issuers discussed. Investments in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI in no way guarantees performance of the Fund or provides any assurance of returns to investors.

Forensic scorecard

Ten forensic checks and seven regulatory checks.

#	CHECK	RESULT	FINDING	PAGE
1	Bonus issue / share-count consistency	✔ Pass	22:1 bonus (allotted after 27-May-2026) and 2-for-1 split are applied to all periods: EPS Rs 5.64 = Rs 313.90 m / 55,650,984 shares; NAV Rs 12.75 = Rs 709.29 m / 55,650,984 shares. Consistent across the Basis for Offer Price.	pp. 154-157
2	Cash flow vs profit	! Watch	FY26 operating cash flow Rs 26.85 m against PAT Rs 313.90 m (8.6%); FY26 working capital absorbed Rs 445.46 m of inventory and Rs 281.35 m of other assets. Cumulative FY24-26 CFO/PAT 69.7% (CFO Rs 281.93 m / PAT Rs 404.39 m) on a mixed standalone/consolidated series.	pp. 88, 346
3	Current vs deferred tax	✔ Pass	Current tax Rs 130.30 m on FY26 PBT Rs 444.12 m (29.3%); cumulative FY24-26 current tax 26.1% of cumulative PBT. Profit is taxed in cash.	p. 87
4	Related-party capex & subsidiaries	! Watch	Both plants stand on land leased from the promoters to 31-Mar-2055 (Cheema 19.47 acres; Dehlon 16.20 acres, Rs 0.08 m a month, +15% every 3 years), and the Rs 716.64 m expansion is on the Dehlon land. Company lent Rs 55.00 m to promoters in FY26 (balance at 31-Mar-26). Three patents assigned by promoter Dharam Singh on 21-Sep-2026 at below fair value (p. 56). Business bought from promoter proprietorships for Rs 324.57 m paid in shares at Rs 1,547 per Rs 10 share (p. 388).	pp. 94-95, 129, 56
5	Objects arithmetic as price floor	– N.A.	Fresh issue is amount-based (Rs 3,000 m), no fixed share count, so there is no objects price floor. Objects: Rs 1,100 m working capital, Rs 716.64 m capex, Rs 185 m debt repayment; the balance is general corporate purposes (cap 25% of gross proceeds) and offer expenses.	p. 123
6	Revaluation reserve	✔ Pass	No revaluation reserve shown in the restated balance sheets.	pp. 85-86
7	Goodwill vs tangible equity	! Watch	Goodwill Rs 4.55 m restated (0.6% of tangible net worth Rs 704.74 m). The proforma balance sheet (p. 91) shows goodwill Rs 65.66 m at 31-Mar-25 and a capital reserve of Rs 32.98 m at 31-Mar-24; the restated note records goodwill of Rs 3.05 m + Rs 1.50 m. Purchase accounting differs between the two presentations.	pp. 85, 91, 388
8	Customer / supplier / geographic concentration	! Watch	Top customer (Seth Agro Industries, not a disclosed related party) 25.21% of FY26 revenue; top-10 50.04%. Northern and Central states 93.99% of revenue. Supply side: top-10 suppliers 40.53% of FY26 raw material cost (76.68% in FY25 when promoter firms supplied); no definitive long-term agreements with suppliers or customers.	pp. 33, 36, 261, 56
9	Contingent liabilities	✔ Pass	Contingent liabilities Rs 71.70 m (GST demands Rs 22.67 m, other Rs 6.50 m, bank guarantees Rs 42.35 m) = 10.1% of net worth Rs 709.29 m.	p. 93
10	Investor presentation vs DRHP	– N.A.	No investor presentation reviewed.	

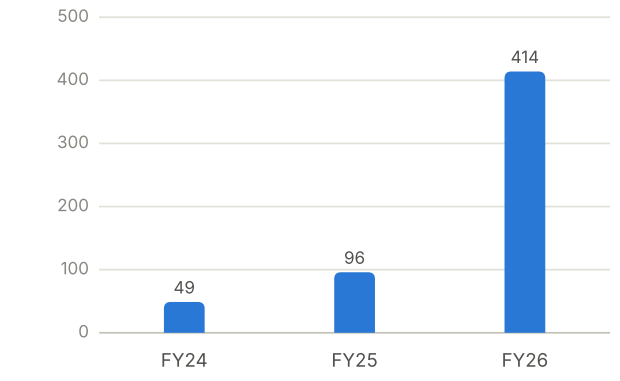
#	CHECK	RESULT	FINDING	PAGE
R1	Auditor qualifications / changes	! Watch	CARO 2020 / Rule 11(g): accounting software had no audit-trail feature at database level until January 2026 (FY25 and FY26 reports). No change of statutory auditor (Anup Kumar Jain & Co) in the last three years.	p. 52
R2	CARO / audit trail	! Watch	Promoters and executive directors were in the past disqualified as directors because of a directorship in Jaggatjit Agro Private Limited, which had not filed financial statements or annual returns; the company also lists past delays in RoC filings with adjudication applications.	p. 24
R3	Monitoring agency	O Open		
R4	Eligibility re-computation	O Open		
R5	SME conditions	! Watch	Offer is under Regulation 6(2) (does not meet 6(1)(a) and 6(1)(c)): at least 75% to QIBs, no more than 15% non-institutional and 10% retail, with refund if 75% cannot be allotted to QIBs. OFS of 3,100,000 shares by promoter Jagatjit Singh.	p. 1, p. 57
R6	Lead-manager track record	O Open	BRLM Keynote Financial Services: DRHP lists two issues (Amir Chand Jagdish Kumar (Exports), CSM Technologies); full track record is on the BRLM's website, not in the DRHP.	p. 511
R7	Firm means of finance	! Watch	Capex orders: none placed for any of the Rs 716.64 m (100% unplaced); quotations valid for limited periods. Monitoring agency to be appointed before RHP.	pp. 101, 129

Financial performance

Restated figures, Rs crore. Hover a mark for its value; open "Data table" under any chart for the numbers.

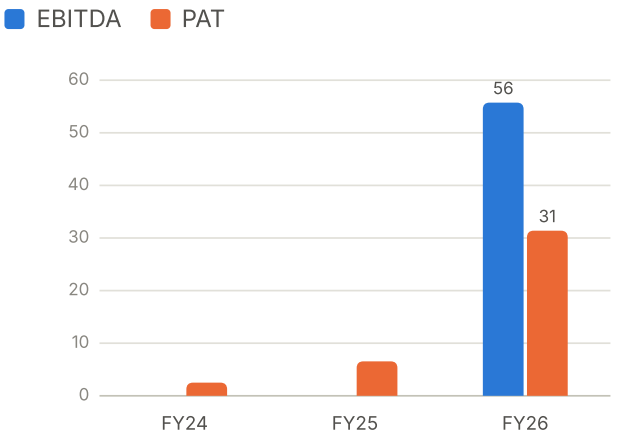
Revenue from operations

Rs crore



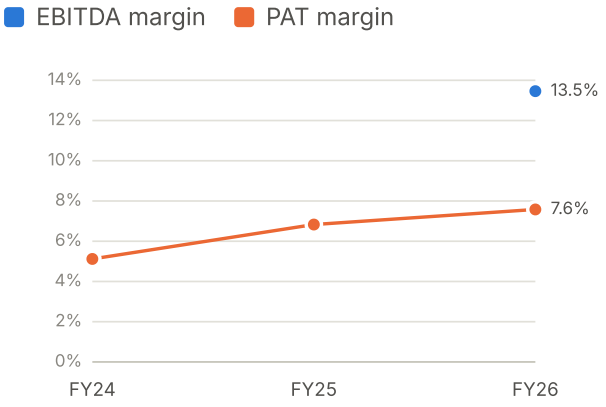
EBITDA and PAT

Rs crore



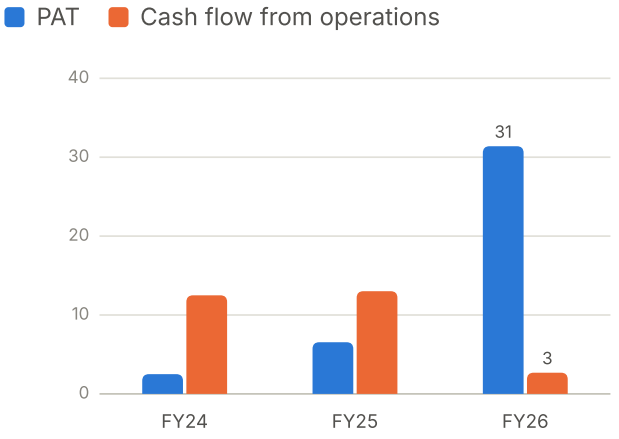
Margins

% of revenue



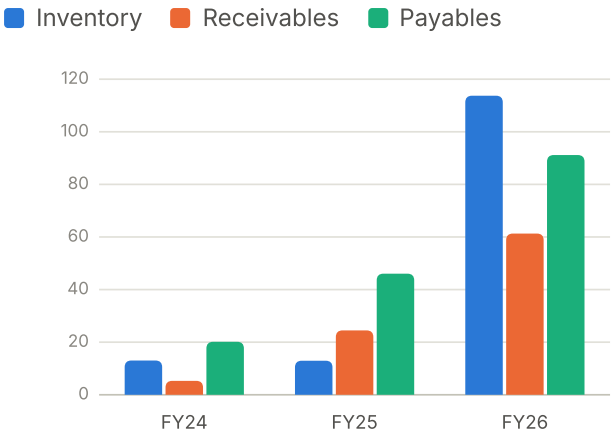
Cash conversion: PAT vs operating cash flow

Rs crore. Profit that does not become cash shows as the gap.



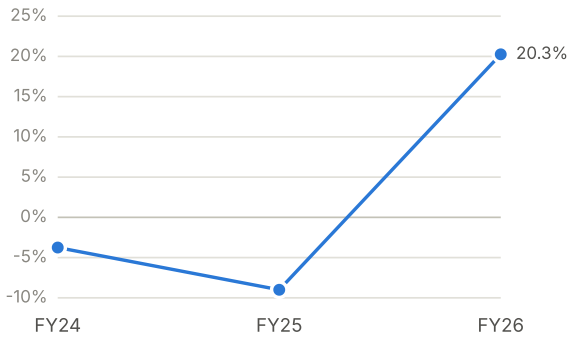
Working capital build-up

Rs crore, year end



Net working capital

% of revenue

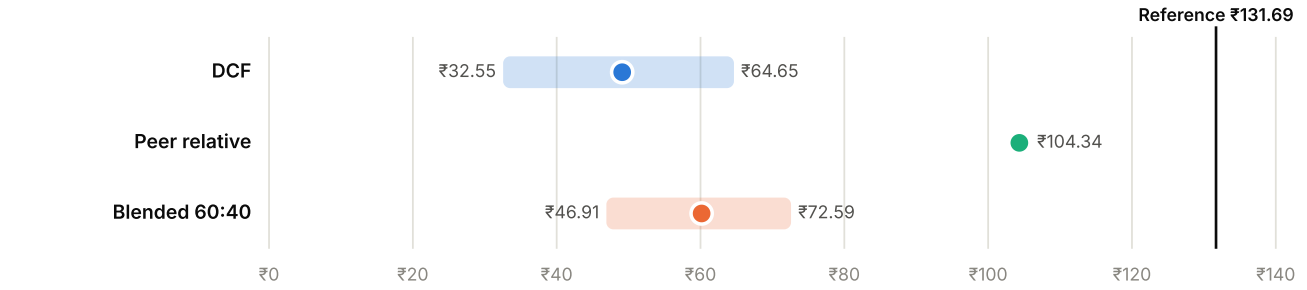


Valuation

DCF and peer-relative values shown separately, then blended 60:40. Reference: Rs 131.69 = lowest listed-peer P/E in the DRHP (Escorts Kubota 23.35x, p. 156) x FY26 EPS Rs 5.64. An illustrative reference, not a price band; no band exists. The only transaction price in the DRHP is Rs 1,547 per pre-bonus Rs 10 share (about Rs 33.63 per Rs 5 share after the 22:1 bonus and split), used for the promoter business purchase in 2025 (p. 388).

Valuation range per share (Bear – Neutral – Bull)

Bar spans Bear to Bull; dot is Neutral. Vertical line is the reference price.



Scenario summary

RS/SHARE	DCF	RELATIVE	BLENDED	VS REFERENCE
Bear	₹32.55	₹104.34	**₹46.91**	-64.4%
Neutral	₹49.11	₹104.34	**₹60.16**	-54.3%
Bull	₹64.65	₹104.34	**₹72.59**	-44.9%

WACC	**16.5%**
Terminal value share of EV	**86.7%**

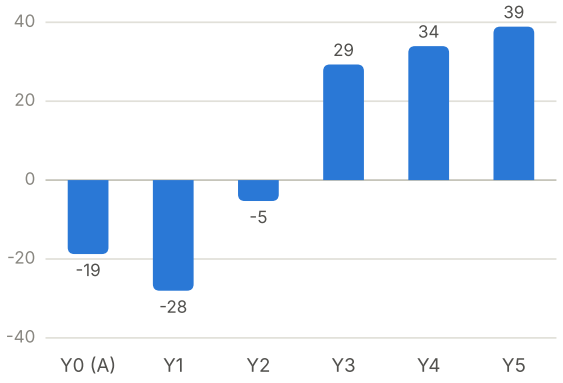
Reverse DCF: what the reference price needs

LEVER	REQUIRED	ACTUAL
implied perpetual growth on current FCFF	n.m. (FCF negative)	4.5%
implied WACC at terminal g	n.m. (FCF negative)	16.5%
required EBIT margin (steady state)	42.1%	12.3%
required NWC % of revenue (steady state)	Unreachable: needs negative working capital	20.3%

Current free cash flow is negative: no multiple can be stated, and the entire price rests on a turn that has not yet begun.

DCF projection (Neutral): free cash flow to firm

Rs crore; Y0 is the latest audited year



Sensitivity: WACC vs terminal growth

Value per share (Rs). Blue above, red below the reference.

WACC	Terminal growth 3.5%	4.0%	4.5%	5.0%	5.5%
14.5%	₹55.55	₹56.02	₹56.53	₹57.08	₹57.68
15.5%	₹51.82	₹52.14	₹52.47	₹52.82	₹53.2
16.5%	₹48.7	₹48.9	₹49.11	₹49.33	₹49.56
17.5%	₹46.05	₹46.17	₹46.29	₹46.42	₹46.55
18.5%	₹43.77	₹43.84	₹43.9	₹43.96	₹44.02

Below reference — Above reference

Sensitivity: working capital vs EBITDA margin

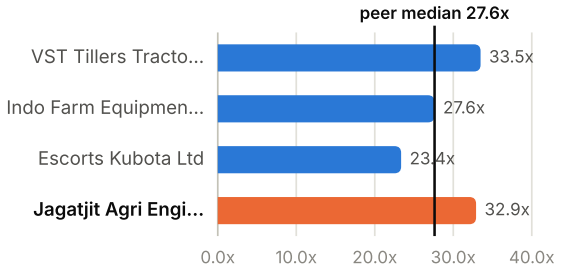
Value per share (Rs). The lever that moves value most deserves the most diligence.

NWC % rev	EBITDA margin 10.5%	11.5%	12.5%	13.5%	14.5%
15%	₹45.72	₹49.45	₹53.18	₹56.91	₹60.65
18%	₹43.68	₹47.41	₹51.15	₹54.88	₹58.61
21%	₹41.65	₹45.38	₹49.11	₹52.84	₹56.57
24%	₹39.61	₹43.34	₹47.07	₹50.81	₹54.54
27%	₹37.58	₹41.31	₹45.04	₹48.77	₹52.5

Below reference — Above reference

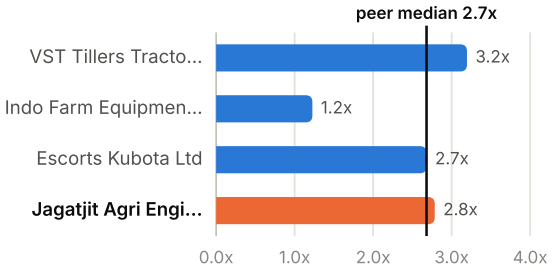
Peer P/E

Issuer at reference price (orange) vs listed peers named in the offer document



Peer P/B

Issuer on post-issue net worth



Offer structure and supply

How the issue is split, where an AIF can bid as anchor, and shares that unlock after listing.

Issue split by investor category (Rs 341 cr net offer)

The open anchor pool is the part an AIF competes for; allocation is discretionary.

Anchor: MF reserved — Anchor: insurers & pension — Anchor: open pool — QIB (non-anchor) — Non-institutional — Retail



Lock-in expiries known from the offer document

HOLDER	SHARES (LAKH)	LOCK-IN (DAYS FROM ALLOTMENT)
Pre-issue non-promoter shareholders (18,400 shares)	0.18	180
Promoter shareholding above 20% post-issue (after OFS of 31.00 lakh), at reference price	368.46	180
Promoter minimum contribution (20% of post-issue capital), at reference price	156.86	540

Anchor tranches (30 / 90 days) and promoter lock-ins are dated once the RHP fixes the allotment date.

Merchant bankers

Lead managers' recent issues: listing-day open vs issue price (offer-document data) and post-listing moves.

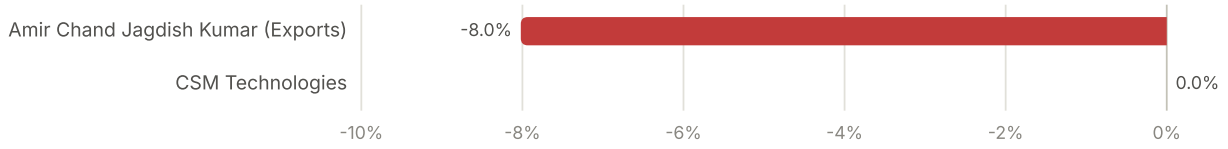
Keynote Financial Services Limited

Listed: Yes (Keynote Financial Services Limited, BSE/NSE)
Owner: not retrieved

FINANCIAL YEAR	IPOS	RAISED (RS CR)
FY2026-27	2	586
FY2025-26	0	–
FY2024-25	0	–

Listing-day open vs issue price

Recent issues handled by this offer's lead managers



Issuers' revenue growth, FY24 → FY26

Secondary-source financials, unverified (see note)

SWOT

Each point carries its figure and page reference in the note.

STRENGTHS

- Proforma revenue +63% in FY26 to Rs 4,139.70 m; units 19,111 vs 12,234 (pp. 90, 158)
- Current tax 26.1% of cumulative PBT; profit taxed in cash (p. 87)
- Third-largest homegrown implement maker per the issuer-commissioned CARE report; about 13% of straw reapers (p. 245)
- 233 dealers and 12 distributors; 20 states (p. 247)
- Receivables 97% within six months of due date (p. 371)

WEAKNESSES

- Mixed series: FY26 consolidated, FY25 and FY24 standalone (p. 87)
- FY26 CFO Rs 26.85 m vs PAT Rs 313.90 m; inventory up Rs 445.46 m (p. 88)
- Top customer 25.21% and top-10 50.04% of revenue (p. 36)
- Northern and Central states 93.99% of revenue (p. 246)
- Q4 carries 37.88% of annual revenue (p. 35)

OPPORTUNITIES

- Farm-equipment market projected at 7.7% CAGR FY26-30 (issuer-commissioned report, p. 129)
- Dehlon expansion: Rs 716.64 m for a stated capacity of 4,000 to 33,000 (unit label unclear) (p. 133)
- Super Seeder share of 30% in Madhya Pradesh, 15% Haryana, 12% Punjab (p. 245)
- Biomass briquette and pellet machinery for crop residue (p. 245)

THREATS

- Demand tied to CRM and SMAM subsidy schemes, 60:40 Centre-State (p. 56)
- No long-term supply or customer agreements (p. 23)
- Working capital: borrowings Rs 1,344.07 m, current ratio 1.10 (p. 158)
- Past director disqualification and RoC filing delays (p. 24)

Due-diligence note

Jagatjit Agri Engineering Limited: DRHP screen

> **Basis.** Draft Red Herring Prospectus dated 25-Sep-2026, filed with SEBI on 01-Oct-2026. Restated financials run to 31-Mar-2026 and are **199 days old** at the date of this note. **No price band has been announced.** Figures are from the DRHP (printed page numbers) in ₹ million unless stated.
>
> **The three years are not on one basis.** FY26 is consolidated and includes the businesses of Saron Mechanical Works I and II (the promoters' proprietorships), which the company acquired with effect from 01-Apr-2025. FY25 and FY24 are the company's standalone accounts, before that acquisition (p. 87). The DRHP's **proforma** figures put the two acquired firms back into FY25 and FY24; this note uses the proforma series for growth and margin comparisons.
>
> Upside is measured against **₹131.69**, an illustrative reference: the lowest listed-peer P/E in the DRHP (Escorts Kubota, 23.35x, p. 156) times FY26 EPS of ₹5.64. It is not a price band. Exit route assumed: 2–3 year hold. A DRHP is a screen, not a decision; the RHP should carry H1 FY27.

Verdict: Screen only. The evidence is mixed.

Strengths: large, tax-paid growth on a proforma basis.

- Proforma revenue rose from ₹2,074.48 m (FY24) to ₹2,537.60 m (FY25) and ₹4,139.70 m (FY26); proforma PAT from ₹80.82 m to ₹206.95 m and ₹313.90 m (pp. 90, 158).
- Units sold rose from 12,234 (proforma FY25) to 19,111 in FY26 (p. 158).
- Tax was paid in cash at 26.1% of cumulative PBT (p. 87).
- Receivables are short: ₹608.65 m of ₹628.74 m is within six months of due date (p. 371).

Concerns: the history is short and concentrated, and the promoter ties are extensive.

- The operating business sat in promoter-owned proprietorships until 01-Apr-2025. In FY25 the company bought ₹446.24 m of goods from related parties (60.7% of its materials cost) and sold ₹235.22 m to them (24.5% of its revenue) (pp. 94–95).
- One customer, Seth Agro Industries, was 25.21% of FY26 revenue (₹1,043.46 m); the DRHP does not identify it as a related party (p. 261).
- Northern and Central states were 93.99% of FY26 revenue (p. 246).
- FY26 operating cash flow was ₹26.85 m against PAT of ₹313.90 m (p. 88).
- Both plants stand on land leased from the promoters, and the company lent ₹55.00 m to two promoters in FY26 (pp. 95, 284).

On earnings (peer multiples) the reference price looks full relative to the model; on cash (DCF) it looks well above. **H1 FY27 cash flow, the top customer's identity and the price band will show which reading holds.**

Snapshot

	FY24	FY25	FY26
Revenue, restated (FY24–25 standalone; FY26 consolidated)	488.60	959.26	4,139.70
Revenue, proforma	2,074.48	2,537.60	4,139.70
EBITDA, proforma (issuer KPI)	201.97	368.18	557.38
EBITDA margin, proforma	9.74%	14.51%	13.46%
PAT, restated	25.02	65.47	313.90
PAT, proforma	80.82	206.95	313.90
Cash flow from operations, restated	124.93	130.15	26.85
Borrowings incl. leases (restated)	267.67	201.44	1,344.07
Return on capital employed (restated)	21.40%	35.59%	31.10%

Sources: pp. 87–89, 158. Other FY26 facts: net worth ₹709.29 m; EPS ₹5.64; NAV ₹12.75 per share (pp. 85, 155).

Business model

- **What it sells:** tractor-operated and tractor-mounted agricultural implements under the "Jagatjit" brand: 20 products and 192 SKUs, including Super Seeders, rotavators, straw reapers, laser land levellers and biomass briquette machines (pp. 245, 248).
- **To whom:** farmers, reached through 12 distributors and 233 dealers and by 2,500+ direct customers. FY26 revenue split: distributors 46.16%, dealers 39.92%, direct 13.89% (pp. 247, 260). Exports were 1.36% of revenue (p. 248).
- **How it is priced and earns its margin:** a manufacturing and assembly margin on steel-based implements; FY26 gross margin was 39.06% and EBITDA margin 13.46% (p. 158). Part of demand is helped by central and state subsidy schemes (CRM and SMAM), paid either to the farmer or to the company, which passes it on (p. 56).
- **What it owns and what it outsources:** two Punjab plants (Cheema, Sangrur and Dehlon, Ludhiana) with in-house cutting, fabrication, machining, painting and assembly (p. 246). **Both plants are on land leased from the promoters** until 31-Mar-2055 (Cheema 19.47 acres; Dehlon 16.20 acres) (p. 284). Raw materials come from third-party suppliers without long-term agreements (p. 23).
- **Capacity (units):** Cheema 14,632 produced of 19,875 (73.62%); Dehlon 3,587 of 4,000 (89.68%) in FY26 (p. 267). Capacity is the independent chartered engineer's estimate.
- **Seasonality:** the fourth quarter carried 37.88% of FY26 revenue (p. 35).
- **Subsidiary:** Jagatjit Energies Private Limited; its separate financials are not shown, so it cannot be backed out of the consolidation.

Industry analysis

Source: the CARE Industry Report, **commissioned and paid for by the issuer** for this offer (p. 25). Treat its market estimates accordingly.

- **Size and growth:** the Indian implements market is put at ₹440 bn in FY26, growing at a 10.2% CAGR to ₹649 bn in FY30 (p. 239). Domestic implements are said to have grown at 10.2% over FY23–26 (p. 248). Farm equipment overall is projected at 7.7% FY26–30 (p. 129). The issuer's proforma revenue CAGR is stated as about 28% over FY23–26 (p. 248).
- **Structure:** moderately fragmented; organised makers hold about 60% of the market and unorganised or regional makers 40% (p. 221).
- **Competitors:** the DRHP names VST Tillers Tractors, Indo Farm Equipment and Escorts Kubota (p. 63), and says there is no direct listed peer with a comparable portfolio (p. 156). Regional fabricators and other implement makers are not named.
- **Regulation and cyclicality:** demand depends on monsoon and crop cycles, state mechanisation schemes (60:40 Centre–State funding) and empanelment of manufacturers by state governments (pp. 35, 56).

Moat

Source	Evidence	Durability
Brand and dealer network	"Jagatjit" brand since the 1980s; 233 dealers, 12 distributors, 20 states (pp. 246–247)	Moderate. The network is regional; 93.99% of revenue is Northern and Central
Product breadth	20 products, 192 SKUs; about 13% of straw reapers; Super Seeder share of 30% in Madhya Pradesh, 15% in Haryana, 12% in Punjab (p. 245)	Moderate. Shares are from the issuer-commissioned report and concern subsidy-linked units
Integrated manufacturing	In-house fabrication to assembly at two plants (p. 246)	Low to moderate. Replicable with capital
Subsidy empanelment	Sells subsidy-eligible equipment in several states (p. 56)	Low. A policy can change and any maker can be empanelled
IP	Three patents, 35 trademarks (p. 245); the three patents were assigned by a promoter on 21-Sep-2026 at below fair value (p. 56)	Low

The DRHP evidence supports a **regional, brand-and-channel position** rather than a structural moat. It does not show pricing power independent of subsidies.

Revenue and profit growth drivers

- **Revenue: volume and channel.** Units sold rose from 8,895 (proforma FY24) to 12,234 (FY25) and 19,111 (FY26). Revenue per unit moved from ₹0.233 m to ₹0.207 m to ₹0.217 m (pp. 158, 90). Growth is therefore mostly volume. SKU count rose from 128 to 192 and states from 18 to 20 (p. 158). Sales through distributors rose from ₹750.08 m (proforma FY25) to ₹1,911.07 m (p. 247).
- **Profit: gross margin and operating leverage.** Proforma gross margin went from 23.58% (FY24) to 37.19% (FY25) and 39.06% (FY26); EBITDA margin from 9.74% to 14.51% and 13.46% (p. 158). The DRHP does

not split the FY24-to-FY25 gross-margin change between price, mix and input cost.
- **Comparability effect.** Restated FY25 gross margin of 20.98% reflects a company buying finished goods from promoter firms; FY26 consolidates the manufacturing. The jump from 20.98% to 39.06% is mostly this change in structure.
- **Forward drivers named by the company:** the Dehlon expansion, the biomass machinery line, more states and exports (p. 246).

SWOT

Strengths	Weaknesses
Proforma revenue +63% in FY26 to ₹4,139.70 m; units 19,111 vs 12,234 (pp. 90, 158)	Mixed series: FY26 consolidated, FY25 and FY24 standalone (p. 87)
Current tax 26.1% of cumulative PBT (p. 87)	FY26 CFO ₹26.85 m vs PAT ₹313.90 m; inventory up ₹445.46 m (p. 88)
Third-largest homegrown implement maker, about 13% of straw reapers (issuer-commissioned report, p. 245)	Top customer 25.21% and top 10 customers 50.04% of revenue (p. 36)
233 dealers and 12 distributors; 20 states (p. 247)	Northern and Central states 93.99% of revenue (p. 246)
Receivables 96.8% within six months of due date (p. 371)	Fourth quarter 37.88% of annual revenue (p. 35)

Opportunities	Threats
Implements market ₹440 bn to ₹649 bn FY26–30 (issuer-commissioned report, p. 239)	Demand tied to CRM and SMAM subsidy schemes funded 60:40 Centre–State (p. 56)
Dehlon expansion of ₹716.64 m (p. 129)	No long-term supply or customer agreements (p. 23)
Biomass briquette and pellet machinery (p. 245)	Borrowings ₹1,344.07 m; current ratio 1.10 (p. 158)
Super Seeder share of 30% in Madhya Pradesh, 15% in Haryana, 12% in Punjab (p. 245)	Past director disqualification and late RoC filings (p. 24)

The offer and objects

- **Size:** fresh issue of ₹3,000 m plus an offer for sale of up to 3,100,000 shares by promoter Jagatjit Singh (WACA ₹5.40 per share). A pre-IPO placement of up to ₹600 m may reduce the fresh issue (pp. 1, 123). At the ₹131.69 reference the offer is about ₹3,408 m.
- **Eligibility:** Regulation 6(2). The company does not meet Regulation 6(1)(a) and (c), so at least 75% of the offer goes to QIBs, no more than 15% to non-institutional and no more than 10% to retail; if 75% cannot be allotted to QIBs the issue is refunded (p. 57). Retail investors therefore have a small allocation.
- **Anchor portion:** up to 60% of the QIB portion, with one third of that reserved for mutual funds and 6.67% for insurers and pension funds. Anchor allocation is discretionary, and anchor shares are locked in, half for 30 days and half for 90 days.
- **Objects (p. 124):**

Object	₹ million	Share of fresh issue
Working capital	1,100.00	36.7%
Dehlon capex	716.64	23.9%
Debt repayment/prepayment	185.00	6.2%

Object	₹ million	Share of fresh issue
General corporate purposes and offer expenses	balance, 998.36 before expenses	33.3%

- **Working capital:** deployed ₹700 m in FY28 and ₹400 m in FY29, nil in FY27. The plan assumes inventory of 130 days, receivables of 45 days and payables falling from 105 to 95 days because of earlier payment using proceeds (p. 128). Proceeds therefore partly shorten supplier credit.
- **Capex:** no orders have been placed for any of the ₹716.64 m (p. 129). Implementation runs April 2027 to February 2028 (p. 137). Claimable GST and ancillary charges of ₹91.74 m are funded from accruals. The project report is by L&C Techfin Advisory. The expansion is on land leased from a promoter. The capacity table reads "₹ million 4,000 → 33,000" while the Dehlon table is in units (4,000); the unit needs clarification (p. 133).
- **General corporate purposes** are stated at up to 25% of gross proceeds (p. 124). A monitoring agency is to be appointed before the RHP (p. 101).
- **Shares and holders:** 55,650,984 shares of ₹5 before the issue, after a 22:1 bonus and a 2-for-1 split. Promoters hold 99.97%: Jagatjit Singh 88.03%, Simran Saron 8.25%, Dharam Singh 3.69% (p. 110). There is no institutional shareholder before the issue.
- **Price of the 2025 business purchase:** shares were issued to the promoters at ₹1,547 per ₹10 share, about ₹33.63 per ₹5 share after the bonus and split, to pay ₹324.57 m for the two firms (p. 388).

Financials: positives and concerns side by side

Area	Positive	Concern
Growth	Proforma revenue +63% and units +56% in FY26	Restated series mixes bases; step-up follows an acquisition from the promoters
Profitability	EBITDA margin 13.46%; RoCE 31.10% (p. 158)	Margin is below proforma FY25 (14.51%); restated gross margin jump is structural
Cash	Cash tax 26.1% of cumulative PBT	FY26 CFO is 8.6% of PAT; cumulative FY24–26 CFO/PAT 69.7% (₹281.93 m / ₹404.39 m)
Balance sheet	Interest cover 5.03x (p. 158)	Borrowings ₹1,344.07 m; debt/equity 1.89x; current ratio 1.10
Receivables	96.8% within six months of due date	Inventory ₹1,137.11 m (132 days); borrowings fund most of the build
Governance	Independent directors appointed; no auditor change in three years	Promoters previously disqualified as directors; late RoC filings (p. 24)

Forensic scorecard

#	Check	Result
1	Bonus restatement	Pass. EPS ₹5.64 and NAV ₹12.75 are on the post-bonus, post-split count (pp. 154–157)
2	CFO vs PAT	Watch. FY26 CFO 8.6% of PAT; cumulative 69.7% (p. 88)
3	Current vs deferred tax	Pass. Current tax 29.3% of FY26 PBT; 26.1% cumulatively (p. 87)

#	Check	Result
4	Related-party capex / loans	Watch. Both plants on promoter land; ₹55.00 m lent to promoters; promoter patents assigned below fair value (pp. 56, 95, 284)
5	Objects price floor	Not applicable. Amount-based issue (p. 123)
6	Revaluation reserve	Pass. None shown (pp. 85–86)
7	Goodwill	Watch. Restated ₹4.55 m (0.6% of tangible net worth), but the proforma balance sheet shows ₹65.66 m of goodwill at 31-Mar-25 (pp. 85, 91, 388)
8	Concentration	Watch. Top customer 25.21%; geography 93.99%; top 10 suppliers 40.53% (pp. 33, 36, 246)
9	Contingent liabilities	Pass. ₹71.70 m, 10.1% of net worth (p. 93)
10	Investor presentation	Not reviewed
R1	Audit trail (CARO Rule 11(g))	Watch. Accounting software had no database-level audit trail until January 2026 (p. 52)
R5	Eligibility	Watch. Regulation 6(2) route; 75% to QIBs (p. 57)
R6	BRLM track record	Open. Only two issues are listed in the DRHP (p. 511)

Merchant banker

Keynote Financial Services Limited (SEBI registration INM000003606).

- **Status and ownership:** listed company; ownership not retrieved in this pass.
- **Issues handled (DRHP, p. 511):** two IPOs in FY27 so far, raising ₹5,858 m; none in FY26 or FY25 in the DRHP's window. Both were trading at a discount of less than 25% at 30 days. One was at a discount of less than 25% at 180 days.

Issuer	Issue price (₹)	Listed	Listing-day open vs issue	30 / 90 / 180 days
Amir Chand Jagdish Kumar (Exports) Ltd	212.00	2026-04-02	−8.02%	−23.53% / −15.98% / –
CSM Technologies Ltd	113.00	2026-07-02	0.00%	−2.75% / – / –

Issuer revenue, PAT and current prices were not retrieved, so they are left blank in `data/merchant_bankers.json`. The full SEBI-circular track record sits on the BRLM's website, not in the DRHP.

Read of the track record. Two issues, both below issue price at 30 days, are too few to support a view.

Valuation

All values are ₹ per share on 7.84 crore post-issue shares at the ₹131.69 reference, blended 80:20 (DCF:relative) because the DRHP lists no direct peers.

Scenario	DCF	Relative	Blended 80:20	vs ₹131.69
Bear	32.55	104.34	46.91	−64.4%
Neutral	49.11	104.34	60.16	−54.3%
Bull	64.65	104.34	72.59	−44.9%

- **DCF.** WACC 16.49% (risk-free 6.5%, beta 1.1, equity risk premium 7.0%, size 2.0%, company-specific 3.0%; pre-tax cost of debt 7.56%, from finance cost ₹101.63 m over closing borrowings). Terminal growth 4.50%. Neutral: revenue growth easing from 14% to 8%, EBITDA margin 12.5%, trade working capital 21% of revenue. Terminal value is 86.7% of enterprise value, above the 75% warning level.
- **Relative.** Peer P/E from the DRHP: VST 33.5x, Indo Farm 27.6x, Escorts Kubota 23.4x, median 27.6x (p. 156). The peers make tractors and tillers, not implements, so the match is weak.
- **Why DCF and relative differ by 53%.** Relative value prices reported FY26 earnings. The DCF prices cash after working capital, and the model's near-term cash flows are negative because the working capital the issuer projects (₹1,029.46 m rising to ₹2,653.59 m by FY29, p. 127) absorbs the growth.
- **Reverse DCF.** Free cash flow is negative in the first years, so the reference price cannot be expressed as a multiple of current cash flow. In steady state it needs an EBIT margin of about 42% against 12.3% in FY26, and working capital below zero, which is unreachable.
- **Sensitivity.** Moving trade working capital from 21% to 15% of revenue lifts Neutral value from ₹49.11 to ₹53.18 at a 12.5% margin; each point of margin is worth about ₹3.7.
- **Post-money returns.** FY26 PAT over post-issue net worth (₹709.29 m + ₹3,000 m gross) is about 8.5%, against 44.26% pre-issue RoNW (p. 155).
- **The reference is generous to the issuer.** It uses the lowest peer P/E on pre-issue EPS; on post-issue EPS of ₹3.99 the same price is 32.9x.

What would change our view

Test each of these against the RHP:

1. Audited or reviewed H1 FY27 operating cash flow is positive and at least half of H1 PAT (supportive), or negative again (adverse).
2. The top customer's identity: if Seth Agro Industries is related to the promoters or its share of revenue stays above 20%, concentration is higher than the DRHP shows.
3. The price band against the Neutral blended value (₹60) and the 27.6x peer-median P/E.
4. Share of FY26 revenue sold under CRM or SMAM subsidy schemes; a share above 50% would make demand policy-dependent.
5. Purchase orders placed for the ₹716.64 m capex, and a clarified capacity unit.
6. Whether the ₹185 m debt repayment is term debt or revolving working capital, and whether promoter guarantees are released.
7. Like-for-like revenue growth in H1 FY27 against the proforma H1 FY26.

Risks

- Demand depends on government subsidy schemes (p. 56).
- Revenue is concentrated in one customer and one region.

- Working capital is heavy: inventory 132 days and ₹1,150 m of bank lines with ₹945.02 m drawn at 31-Aug-26 (pp. 125–126).
- Promoters hold 99.97% and sell 3.10 million shares; both plants and the expansion depend on promoter-leased land.
- The company has stated past non-compliance with RoC filings and past director disqualification (p. 24).
- Promoter remuneration began at ₹60.00 m in FY26 (₹30.00 m, ₹18.00 m and ₹12.00 m), 19.1% of PAT, with ₹5.00 m payable at year end (pp. 94–95).

Data gaps

Item	Severity	Where to source
Price band, offer size, offer expenses, GCP amount	High	RHP
Like-for-like restated series (consolidated all years)	High	RHP
H1 FY27 financials	High	RHP
Identity and ownership of top customer Seth Agro Industries	High	RHP / MCA
Capacity unit (₹ million vs units) for the Dehlon expansion	Medium	RHP
Revenue share under subsidy schemes	Medium	RHP / issuer
Lender detail for the ₹185 m repayment; promoter guarantees	Medium	RHP
Subsidiary Jagatjit Energies financials	Low	RHP
BRLM track record beyond two issues; issuer financials and prices for them	Medium	BSE / NSE
Investor presentation, if any	Low	Issuer

Verification

- **Restated P&L reproduces:** FY26 total expenses ₹3,730.61 m, PBT ₹444.12 m, tax ₹130.21 m and PAT ₹313.90 m (p. 87). Expense lines sum to the total.
- **Balance sheet balances:** FY26 total assets ₹3,188.36 m equal total equity and liabilities (pp. 85–86).
- **EPS and NAV reproduce:** ₹313.90 m ÷ 55,650,984 = ₹5.64; ₹709.29 m ÷ 55,650,984 = ₹12.75.
- **EBITDA reproduces** the issuer's KPI: ₹444.12 m + ₹101.63 m + ₹46.66 m − ₹35.03 m = ₹557.38 m.
- **FY26 opening balances reconcile:** closing inventories ₹1,137.11 m less (₹129.41 m + ₹562.23 m acquired) = ₹445.47 m, matching the cash flow line of ₹445.46 m (pp. 85, 88, 387).
- **Business purchase:** net assets ₹66.09 m + ₹253.94 m, consideration ₹69.13 m + ₹255.44 m, goodwill ₹3.05 m + ₹1.50 m (p. 387). Goodwill in the proforma balance sheet (₹65.66 m) differs; both are as printed.
- **Peer P/E:** the peer P/E figures in the DRHP were not re-derived; per-share price and EPS are as printed.
- **Not checked:** the investor-presentation cross-check, as none was reviewed; the restated annexure is text-based, so no image reading was required.
- **Workbooks:** the toolkit verification passed 44 of 44 checks.

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